

Table 13.10 Trading Tactics

Trading Tactic	Explanation
Measure rule	For upward breakouts, use the highest high in the wedge as the target. For downward breakouts, use the pattern height subtracted from the lowest low in the pattern. The bottom portion of the table shows how often this works for both breakout directions (for upward breakouts, add the height to the highest high in the pattern).
Partial rise and decline	If a stock shows a partial decline from the top trendline and begins to head back up, consider going long. A partial decline correctly predicts an upward breakout 79% of the time. A partial rise works just 36% of the time to correctly predict a downward breakout. Don't rely on partial rises.
Busted trade	See Table 13.9 . Consider trading a wedge after it busts a downward breakout.

Description	Up Breakout	Down Breakout
Pattern top	83%	N/A
Percentage reaching half height target	65%	52%
Percentage reaching full height target	52%	32%
Percentage reaching 2× height	35%	13%
Percentage reaching 3× height	25%	6%

Subtract the half-height from the bottom of the pattern and just over half of the wedges with downward breakouts will reach the target. Ignore values below zero and change the decline (or rise) into a percent so you're not expecting a huge move.

[Table 13.3](#) can help you decide if the potential move to the target is realistic. For example, if the target is \$5 below the bottom of the wedge with the current price of 30, that's a decline of 5/30 or 17%. [Table 13.3](#) says that 70% of wedges will fail to see price drop more than 15% (the closest value to 17%). In other words, price probably won't make it that far down, but your situation may be different.